

Six depots do the work of nine.

What the network data shows, what it would take to consolidate, and what the board is asked to decide.

All figures fictional • Built to show every pattern in the library



3

depots to consolidate



\$4.1M

annual saving, net of fuel



99.2%

of customers keep next-day service

Consolidating three depots saves \$4.1M a year at a one-time cost of \$2.6M.

Consolidating three depots saves \$4.1M a year — for a one-time cost of \$2.6M and no loss of next-day coverage.

- 1 Three depots run below 40% utilisation and sit within 60 miles of a larger site.
- 2 Their volume fits inside the receiving sites' spare capacity with 18% headroom.
- 3 Next-day coverage holds for 99.2% of current customers after re-routing.
- 4 The saving is dominated by lease and labour; fuel rises by \$0.3M and is included.



DECISION NEEDED

Approve the consolidation plan and the \$2.6M transition budget by Oct 15.



BIGGEST RISK

Union consultation at the Ridgeway depot could add four months.

Where we are in the argument.

01 The network today

02 What consolidation would look like

03 What it costs and saves

04 Risks and the decision

01

SECTION 1 OF 3

Where the network stands today.

Three depots carry a third of the cost for a seventh of the volume.



Three of nine depots run below 40% utilisation.

Utilisation is dock hours used over dock hours available, FY25 average.

DEPOT

Ridgeway • 34%

Volume fell 22% after the Carver contract ended in 2024.

DEPOT

Brookline • 37%

Sits 41 miles from Easton, which runs at 71%.

DEPOT

Oakmont • 39%

Lease renews in March; rent steps up 12%.

CONSEQUENCE

Fixed cost with no volume

The three carry \$5.2M of lease and labour for 14% of network volume.



Three depots carry \$5.2M of fixed cost for 14% of network volume.

Consolidation frees each receiving site's team for the work only they can do.



Fewer re-plans

One planning run for the region instead of three depot schedules stitched together.



Shorter shunts

Trailers stop crossing between the low sites and Easton to balance loads.



Deeper benches

Two larger crews cover absence without agency labour.

Net effect: less stitching, fewer handoffs, and more of each shift spent moving freight.

The depot managers already know which sites are underused.

“We could run Brookline’s whole Tuesday out of Easton’s afternoon shift and nobody would notice except the landlord.”

— Regional operations manager, interview 14 Aug

02

SECTION 2 OF 3

What consolidation would look like.

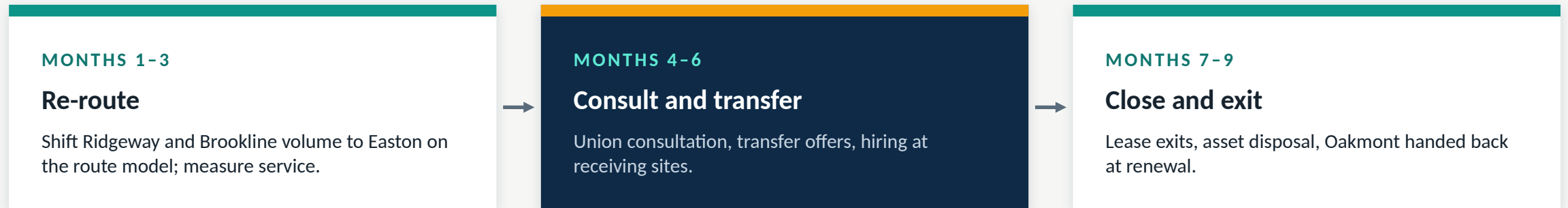
Nine months, three gated phases, no loss of next-day coverage.



HOW THE TRANSITION RUNS

Three phases over nine months, each gated on the last.

Routes move before people; people move before buildings close.



TRANSITION LEAD — one accountable owner across all three phases, reporting to the COO monthly.

CONSTANT

PHASE 1

- Route planner
- Depot managers (both)

PHASE 2

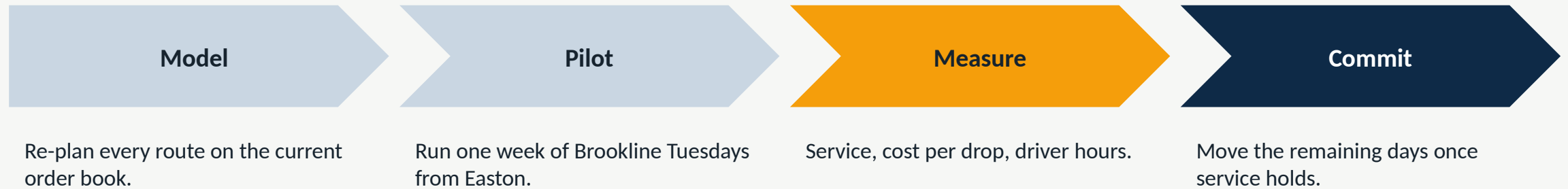
- HR business partner
- Union liaison

PHASE 3

- Property
- Finance

THE RE-ROUTING SEQUENCE

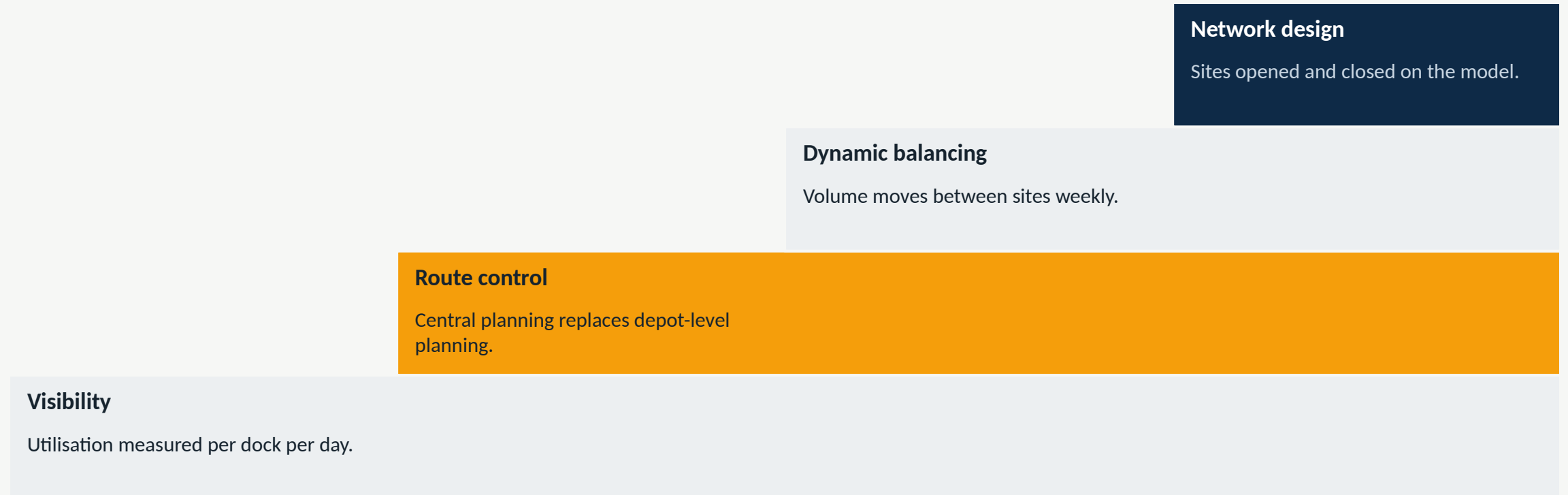
Volume moves in four steps, each reversible until the last.



Nothing closes until the pilot has held service for four weeks.

Each step builds on the one before it.

Where the network sits today is step two.



Three separate changes emptied the same three depots.

Carver contract ended (2024)

Ridgeway lost its anchor customer.

Easton expansion (2023)

Added dock capacity 41 miles from Brookline.

Parcel mix shift

Smaller consignments consolidate better at larger sites.

RESULT

Three depots below 40%

None of the three causes was a mistake.
Together they left the network one size too big.

CUSTOMER IMPACT

Of 2,140 customers, 17 would lose next-day service.

Customers served by the three depots 2,140

All current accounts routed through Ridgeway, Brookline or Oakmont.

Re-routable within the model 2,061

Fit within receiving sites' drive-time windows.

Re-routable with a later cut-off 62

Next-day holds if orders are in by 4pm rather than 6pm.

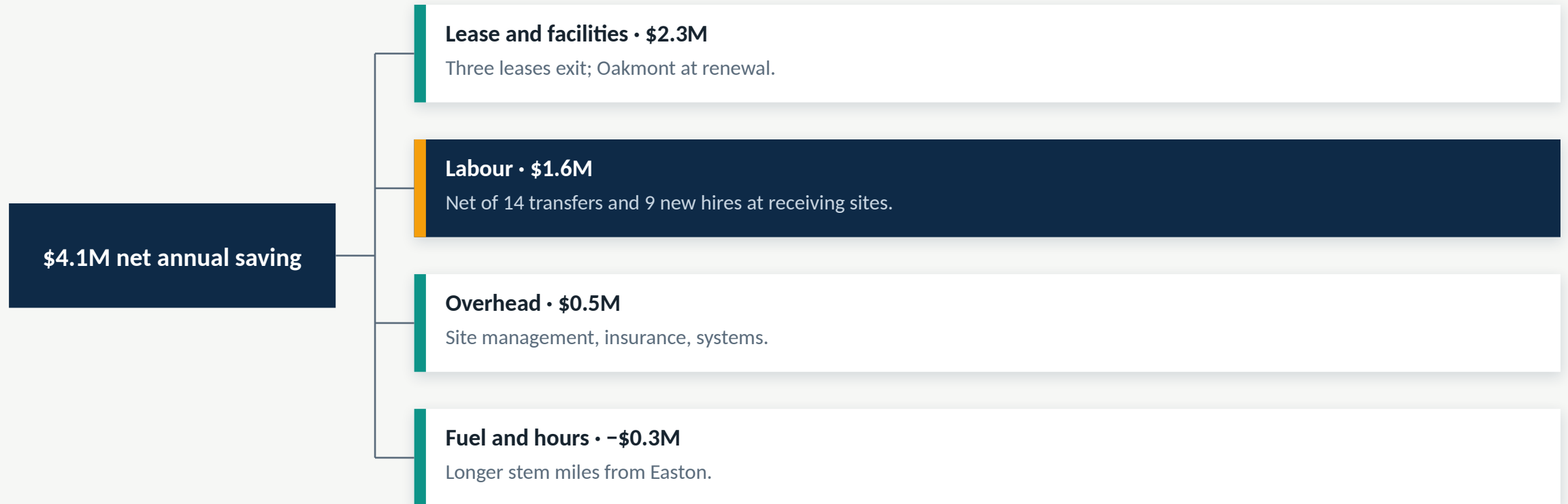
Lose next-day service 17

Rural addresses beyond the 2-hour drive window.

Source: Route model v3 (fictional)

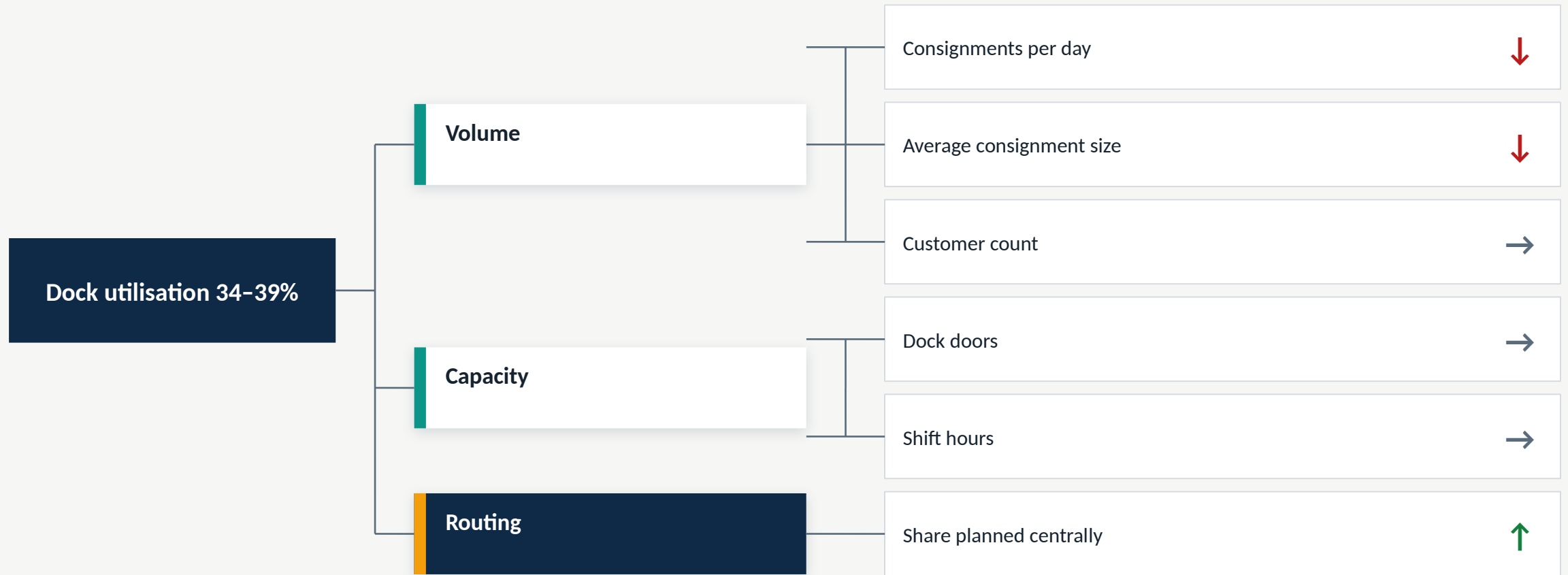
WHERE THE SAVING COMES FROM

The \$4.1M saving is lease, labour and overhead, less fuel.



Source: Halvard depot P&L FY25; transition model (fictional)

Volume fell and capacity did not.



Source: Halvard operations data FY23-25 (fictional)

THE QUESTION

Can the network lose three depots without losing service?

Yes — if routes move before people, and people move before buildings.

Receiving sites have room

- Easton at 71%, Fairmont at 66%
- 18% headroom after transfer
- Peak week modelled at 91%

Service holds

- 99.2% next-day coverage
- 17 accounts affected
- Later cut-off covers 62 more

People can transfer

- 14 of 23 within 30 miles
- 9 hires needed at Easton
- Union consultation required at Ridgeway

Leases can exit

- Oakmont renews March
- Ridgeway break clause 2027
- Brookline sublet market strong

Source: Transition model; HR data (fictional)

THE THREE SITES

Oakmont is the cheapest to exit and the first to go.

Depot	Utilisation	Annual cost (\$M)	Exit cost (\$M)	Lease end	Receiving site
Ridgeway	34%	2.1	1.4	2027 break	Fairmont
Brookline	37%	1.8	0.9	2029	Easton
Oakmont	39%	1.3	0.3	Mar 2027	Easton

Source: Halvard depot P&L FY25; property schedule (fictional)

Easton and Fairmont score highest on every criterion but one.

	Spare capacity	Drive time	Labour market	Lease term	Access
Easton					
Fairmont					
Carlton					
Westbrook					

Full = strongest on that criterion; empty = weakest. Scored by the route model and site visits.

Source: Site assessment, Aug 2026 (fictional)

Two receiving sites are ready; one needs a hiring plan first.

	Capacity	People	Systems	Property
Easton	G	A	G	G
Fairmont	G	G	G	A
Carlton	A	R	G	G

G ready · A in progress · R needs a decision.

Source: Site readiness review (fictional)

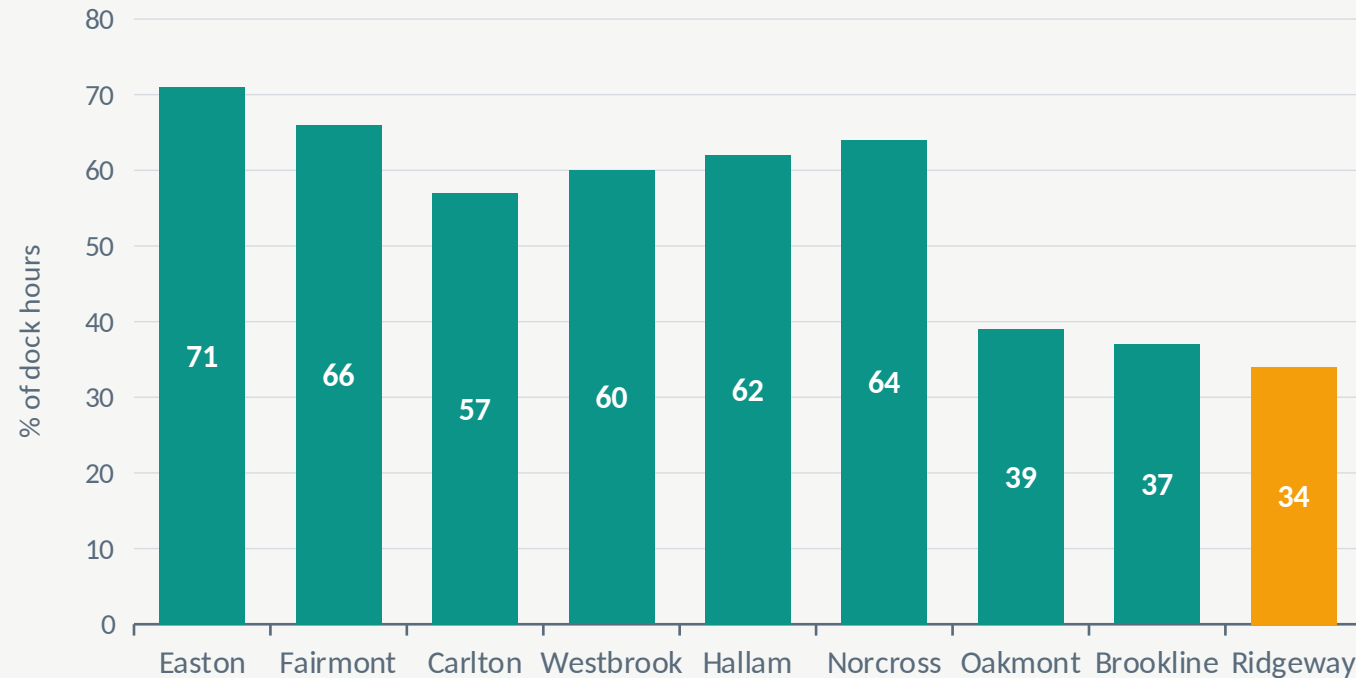
The three low sites have been below 45% for six quarters.

	Q1 25	Q2 25	Q3 25	Q4 25	Q1 26	Q2 26
Easton	68	70	72	74	71	73
Fairmont	61	64	66	68	66	67
Carlton	55	54	58	57	56	59
Ridgeway	44	41	38	36	34	35
Brookline	43	42	40	39	37	38
Oakmont	45	44	42	40	39	39

Source: Halvard operations data (fictional)

Three depots sit well below the network average of 58%.

Dock utilisation, FY25 average.



Structural, not seasonal

No site moved more than 4 points in FY25.

Two clusters

Six sites at 57–71%; three at 34–39%.

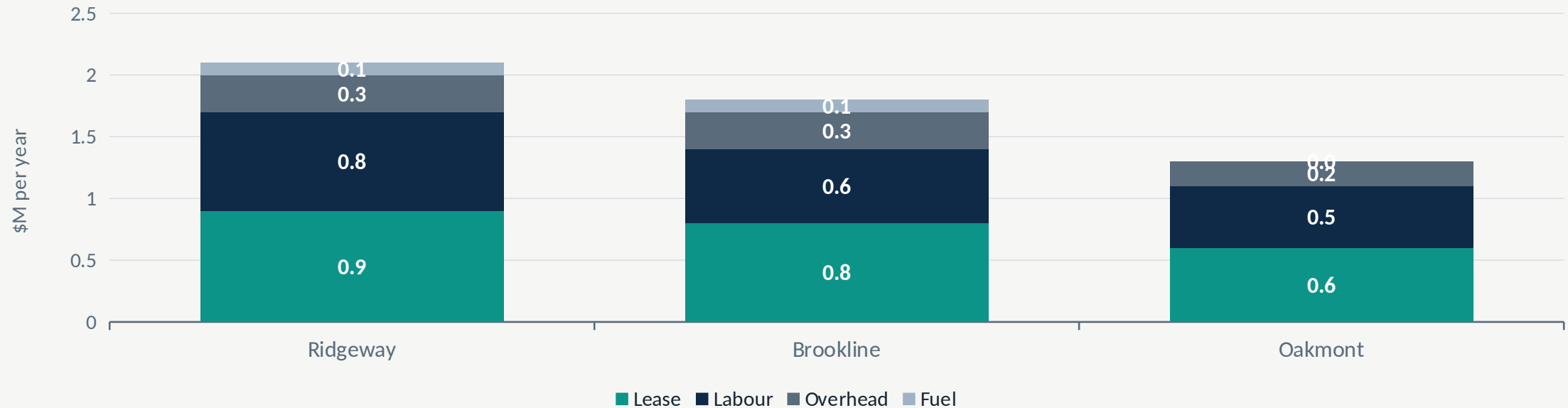
Room to receive

Easton and Fairmont have the most spare dock hours.

Source: Halvard operations data FY25 (fictional)

COST MIX

Lease and labour are 78% of depot cost at the three sites.

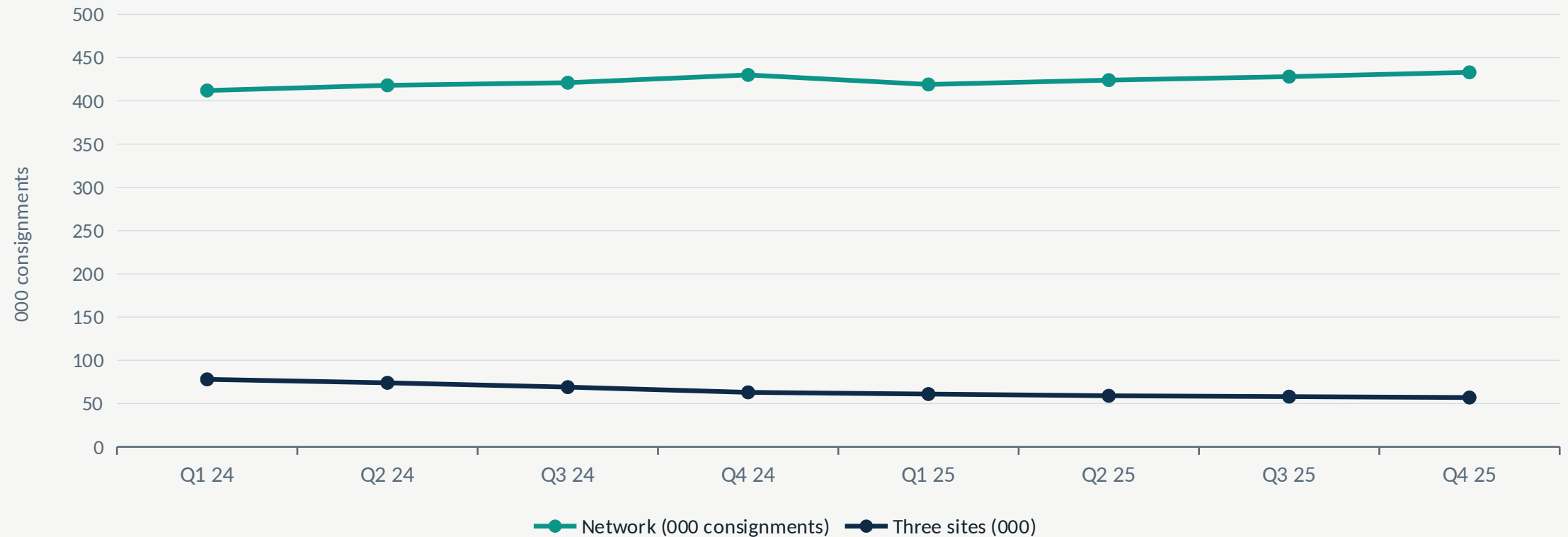


Fuel is the only cost that rises after consolidation — and it is the smallest bar.

Source: Halvard depot P&L FY25 (fictional)

VOLUME TREND

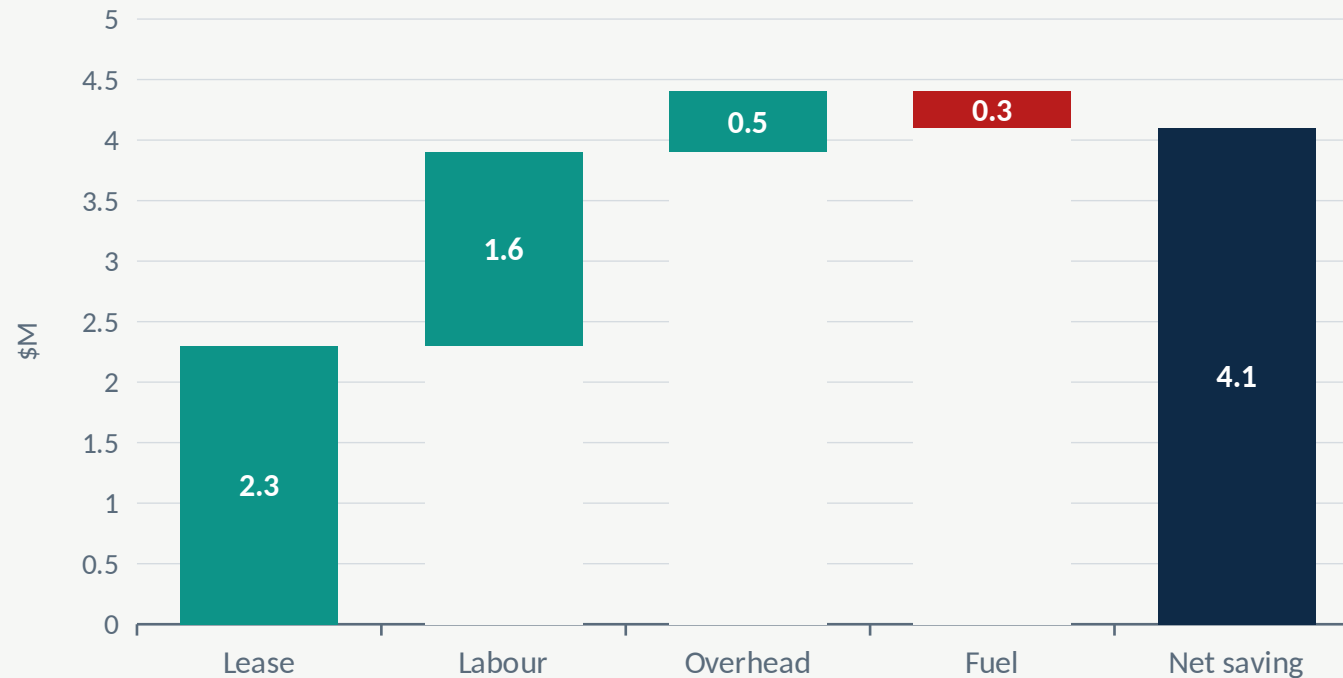
Network volume is flat; the three sites' volume is not.



Source: Halvard volume history (fictional)

Gross saving of \$4.4M nets to \$4.1M after fuel.

Annual run-rate after transition, \$M.



WHAT IS NOT IN THE BRIDGE

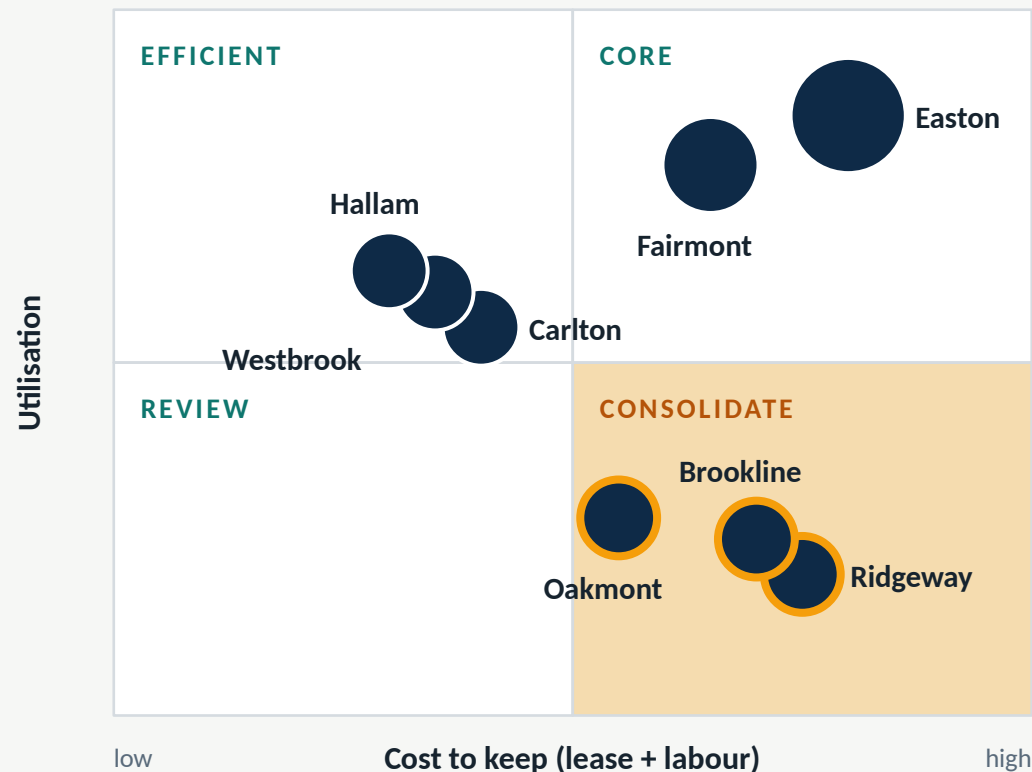
One-time costs

- \$2.6M transition cost
- Payback inside eight months
- Lease exit penalties included

Source: Transition model v3 (fictional)

EVERY DEPOT ON TWO AXES

Three sites are low on utilisation and high on cost to keep.



READING THE MATRIX

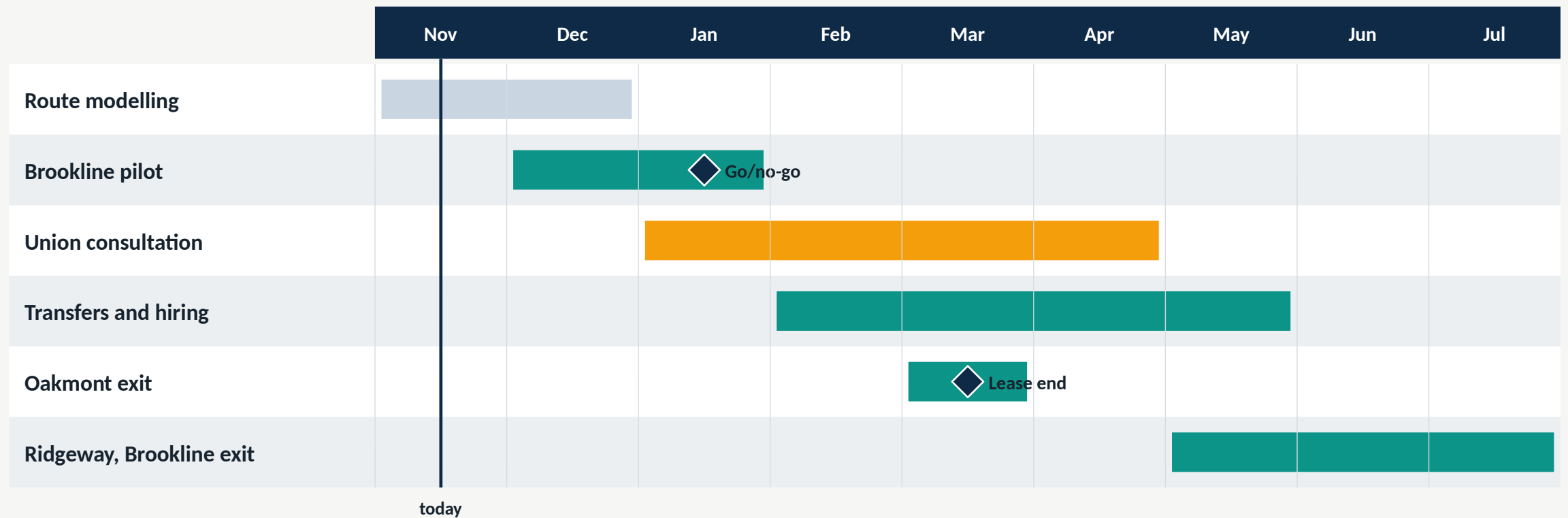
Bottom-right is the case

High fixed cost, low use. The other six sites are either core or cheap enough to keep.

Source: Halvard depot P&L FY25 (fictional)

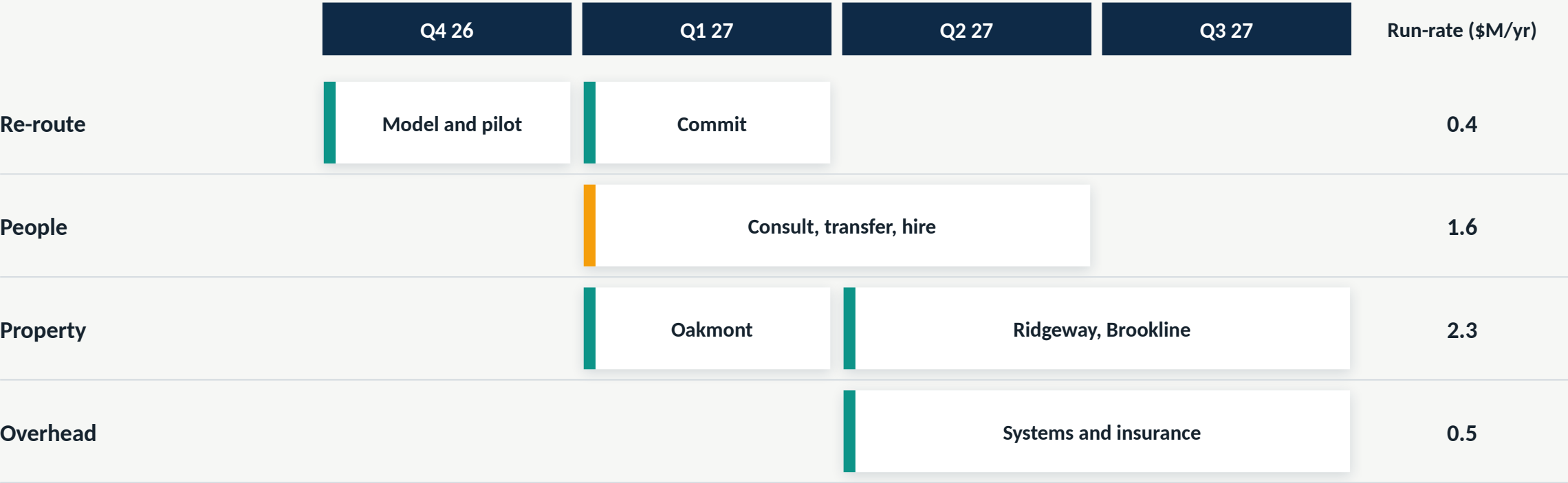
TRANSITION TIMELINE

Nine months from approval to the last lease exit.



Source: Transition plan v2 (fictional)

Savings start in month four and reach run-rate in month ten.



Source: Transition model v3 (fictional)

Four workstreams run across three phases.

	Re-route	Consult and transfer	Close and exit
Operations	Route model, pilot	Run both sites in parallel	Single-site running
People	Communicate the plan	Consultation, offers, hiring	Onboard transfers
Property	Notice periods confirmed	Oakmont handback	Ridgeway and Brookline exit
Finance	Baseline and tracking	Monthly benefit reporting	Close-out and audit

The benefits outweigh the costs by year two.

COSTS

\$2.6M one-time

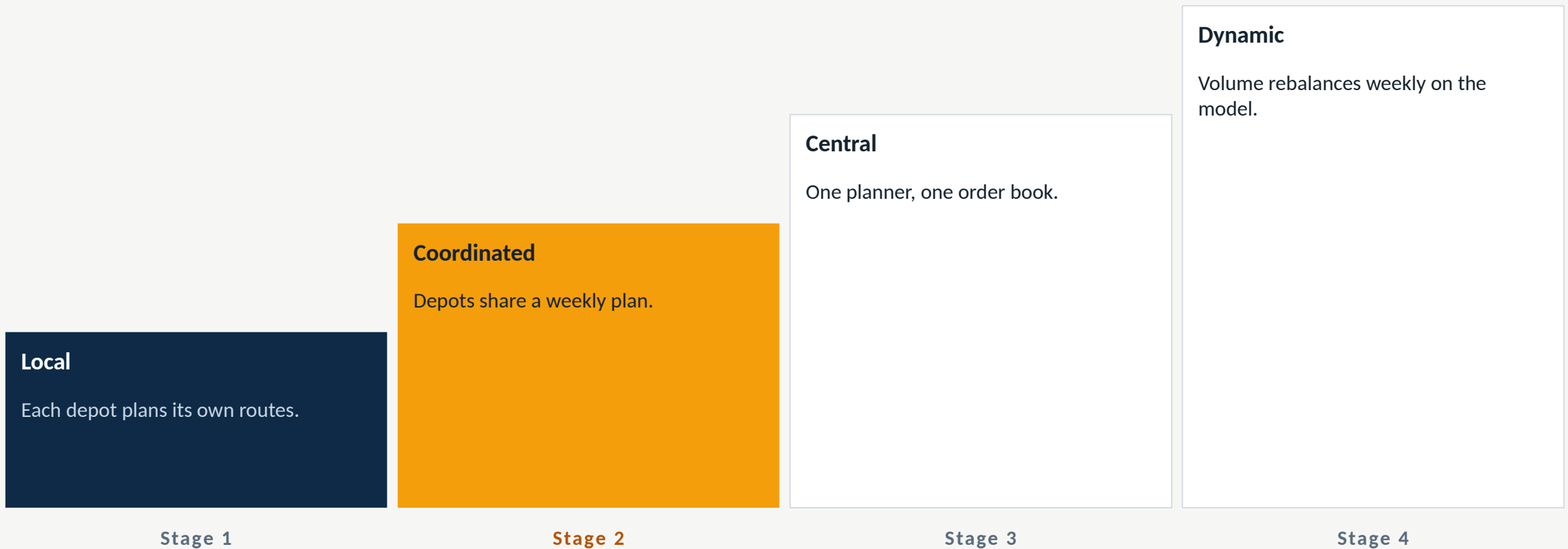
- Lease exit penalties \$1.1M
- Severance and transfer \$0.9M
- Re-routing and pilot \$0.4M
- Systems and moves \$0.2M

BENEFITS

\$4.1M a year

- Lease and facilities \$2.3M
- Labour \$1.6M
- Overhead \$0.5M
- Less fuel \$0.3M

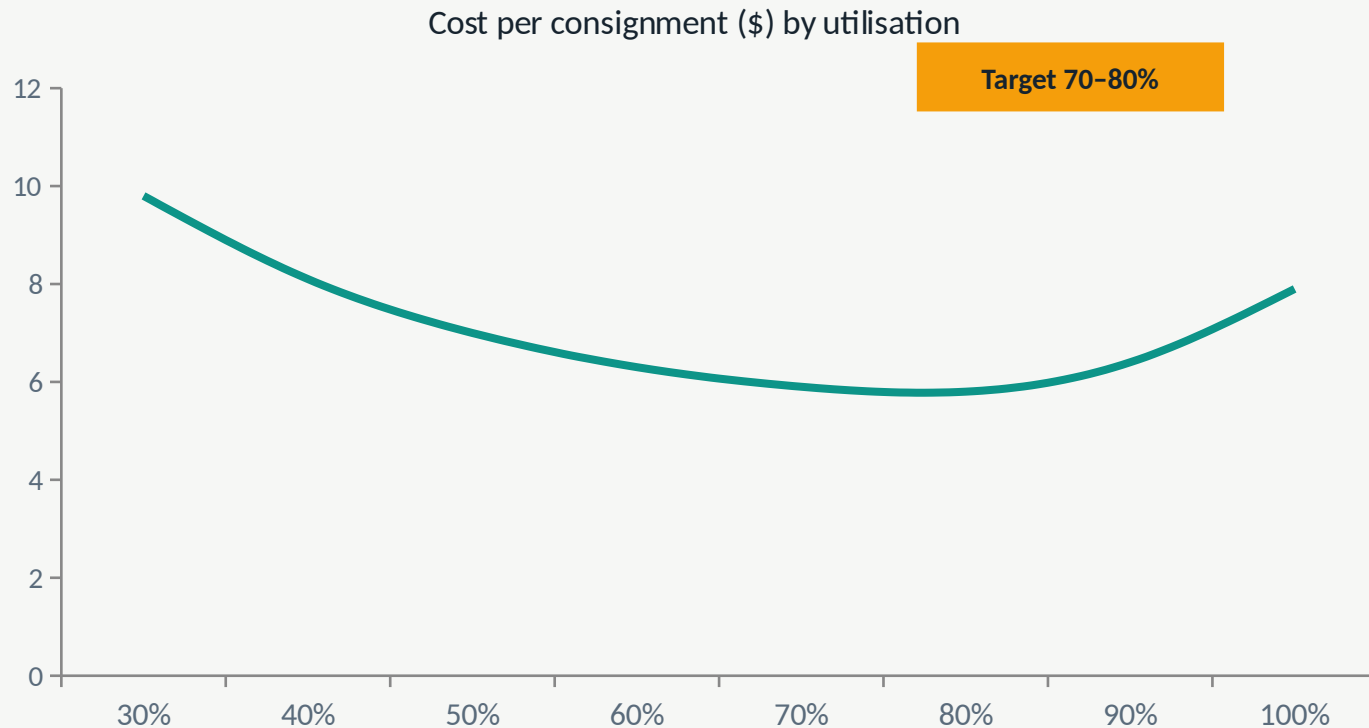
Halvard plans depot by depot; the model requires network-level planning.



Source: Planning maturity assessment, Aug 2026 (fictional)

COST PER CONSIGNMENT

Unit cost falls until a site passes 80% utilisation, then rises.



WHY THE CURVE TURNS

Congestion costs

Above 80%, waiting time and overtime outrun the fixed-cost saving.

Source: Halvard cost model (fictional)

THE PLANNING STACK

One planning tool, feeding every depot.

☒ *proposed* ☐ *alternative*

ORDER INTAKE

one order book for the network

Existing TMS

Replace TMS

DEPOT EXECUTION

docks and drivers work the plan

Current yard system

New yard system

ROUTE PLANNING

central planning replaces depot planning

Planner module

Third-party optimiser

REPORTING

utilisation per dock per day

Existing BI

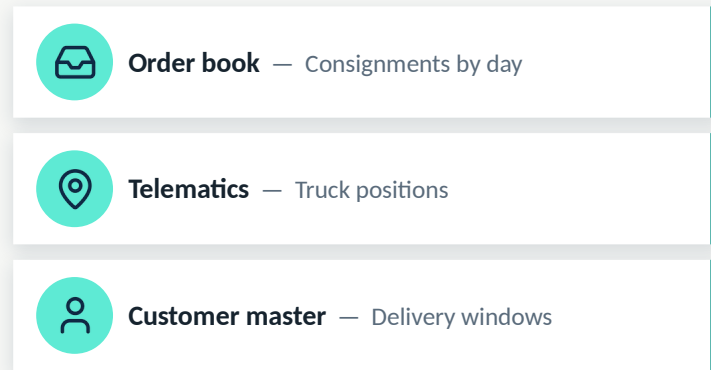
New dashboard

No new platform is required — the planning module is a licence, not a project.

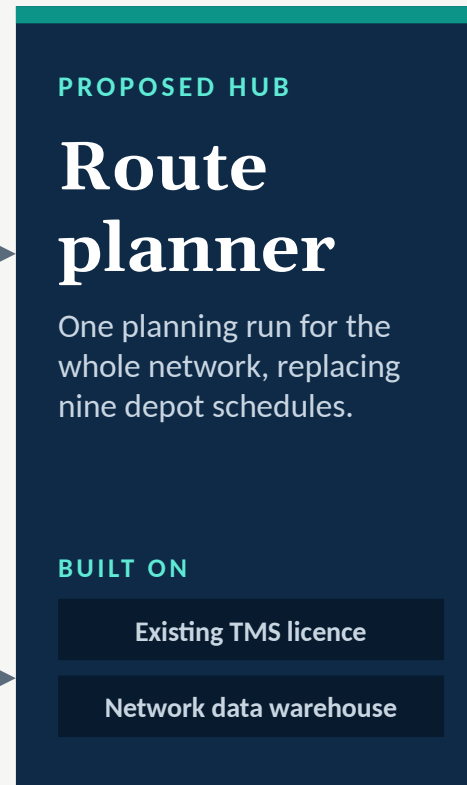
THE PLANNING SYSTEM

The route planner sits between the order book and the depots, with finance and HR alongside.

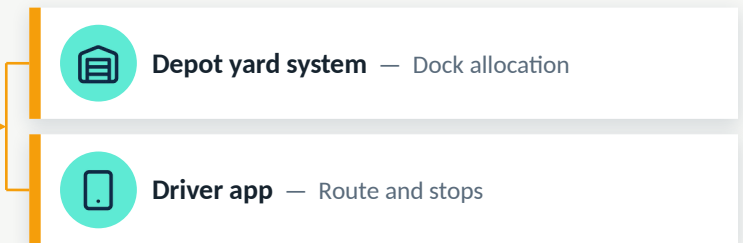
DEMAND AND DATA



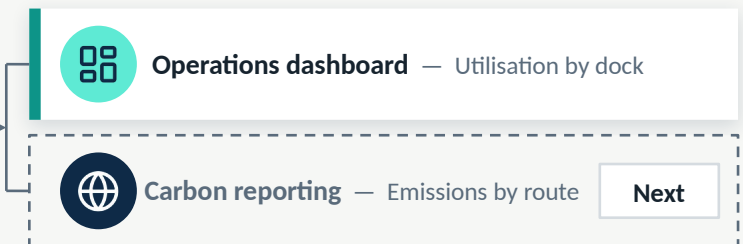
CONTROLS



EXECUTION



REPORTING



Arrows show which way information moves • Dashed: planned, not yet connected

Source: Planning systems inventory, Aug 2026 (fictional)

THE ANALOGY

You already did this with warehouses in 2021.

WAREHOUSES, 2021

Eleven warehouses, four below 50% used

Consolidated to seven over twelve months

Saved \$6M a year, service unchanged



DEPOTS, 2027

Nine depots, three below 40% used

Consolidate to six over nine months

Save \$4.1M a year, 17 accounts affected

The playbook exists — this is the second run of it.

One-time, recurring, and optional.

ONE-TIME	RECURRING	OPTIONAL
Transition cost \$2.6M across nine months.	Net saving \$4.1M a year from month ten.	Sublet Brookline Market rent covers 60% of the remaining lease.
Asset disposal Racking and yard equipment, \$0.2M recovered.	Maintenance Two fewer sites to maintain.	Fourth closure Carlton if volume falls another 10%.

Two of four foundations are in place.

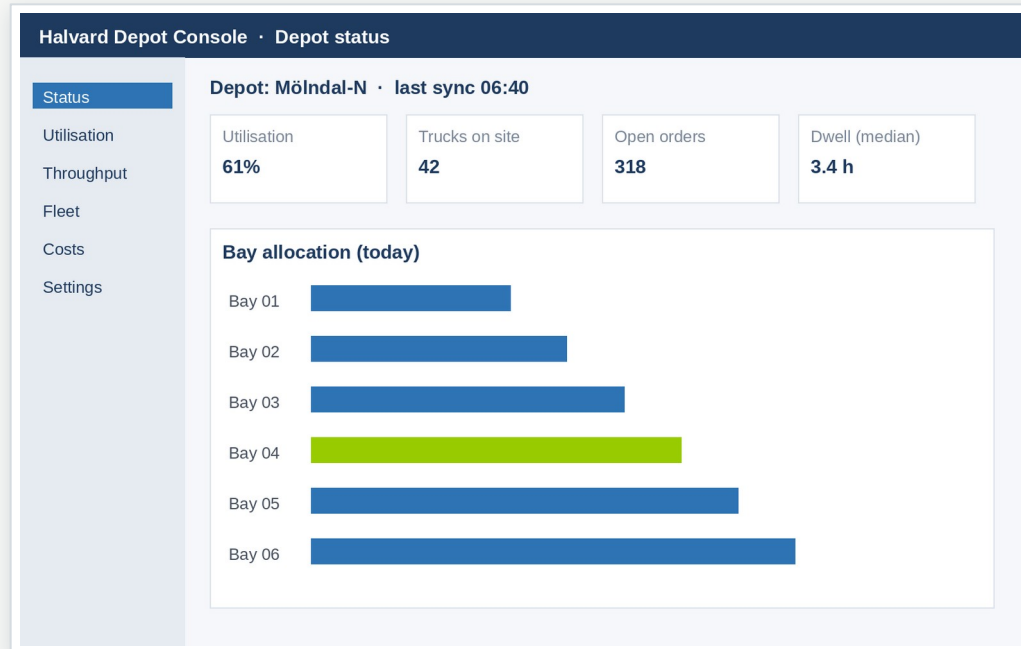
Green is done, amber is in flight, red needs a decision from the board.

Route model	On track	Version 3 validated against FY25 actuals.
Site assessment	On track	Easton and Fairmont confirmed as receiving sites.
Union engagement	Needs decision	Consultation cannot start before board approval; four-month clock.
Transition budget	Needs decision	\$2.6M requested; not in the FY27 plan.

The two reds are decisions, not engineering — and they gate everything after them.

The console shows a depot's day on one screen.

Screenshot of the status view; callouts mark what to read first.

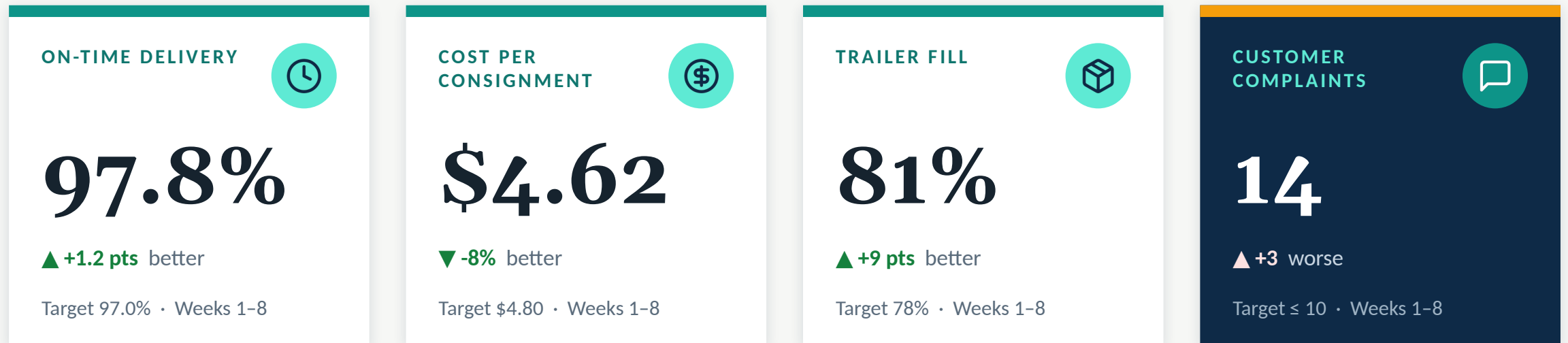


Halvard Depot Console, status view, fictional data.

- 1 Utilisation card**
The one number the morning stand-up runs on.
- 2 Bay allocation**
Highlighted bar is the bay running behind plan.
- 3 Sync time**
If older than an hour, the feed has stalled.

PILOT RESULTS

The Oakmont pilot hit three of four targets in its first eight weeks.



Complaints are the one miss: all 14 trace to the first fortnight's re-routed postcodes.

Source: Oakmont pilot tracker, weeks 1-8 (fictional)

Easton is ready to receive; Fairmont needs its hiring stage closed first.

	Capacity check	Lease terms	Hiring	Systems cut-over	Dry run	Where it stands
Easton (receives Brookline, Oakmont)						Dry run week 2
Fairmont (receives Ridgeway)						11 of 18 hires
Ridgeway exit						Break clause 2027
Brookline exit						Sublet in market
Oakmont exit						Complete

Done

Under way

Not started

Source: Transition PMO tracker (fictional)

The safety rules stay exactly as they are; only the timing of moves changes.

UNCHANGED

Governance is unchanged

- Every route change goes through the network change board
- Customer notice at least 30 days ahead
- Site managers sign off their own cut-over
- Post-move service check at day 7 and day 30

All existing responsibilities stay with the site.



Moves follow the depot clock

Northern sites

After 22:00 local, once the last trunk has left.

Southern sites

Sunday day shift, when volume is lowest.

Standard windows validated in the pilot; exceptions by request.

Every move needs the network board's approval; sites execute their own.

Decision	Site manager	Ops director	Network board	HR	Gate
Close a depot	Consulted	Proposes	Approves	Consulted	 Board minute
Re-route a postcode	Executes	Approves	Informed	Informed	 Change ticket
Move staff between sites	Consulted	Proposes	Informed	Approves	 Union consultation
Run a peak-week dry run	Executes	Approves	Informed		 Ops calendar

P Proposes

A Approves

E Executes

C Consulted

I Informed

03

SECTION 3 OF 3

The decision and what it takes.

One approval, one budget, one risk to manage.



DECISION

Approve consolidating three depots; it saves \$4.1M a year from year two.

WHY

- 1 The three sites are structurally underused**
34–39% utilisation for six quarters; the network runs at 58%.
- 2 Their volume fits next door**
Easton and Fairmont absorb it with 18% headroom to spare.
- 3 Customers barely notice**
17 of 2,140 customers lose next-day service; all are offered a two-day rate.

THE ASK

Approve the plan and release the \$2.6M transition budget.

WHO The board

BY WHEN By Oct 15

COST \$2.6M one-time



THE RISK Owner: HR director

Union consultation at Ridgeway could add four months. Mitigation: Exit Oakmont and Brookline first.

Source: Halvard depot P&L FY25; route model v3 (fictional)

THE SAVING

Consolidation saves \$4.1M a year, three-quarters of it from two lines.

\$4.1M

annual saving at run-rate

From month ten, net of \$0.3M extra fuel

vs \$2.6M one-time cost

WHAT DRIVES IT



Leases: \$1.9M

Three leases end or break by 2029.



Labour: \$1.3M

Two larger crews replace three small ones.



Overhead: \$1.2M

Site management, security and utilities.

SO WHAT

The budget pays back inside eight months of run-rate saving.

Source: Halvard depot P&L FY25 (fictional)

STATUS

The transition is on plan except for Fairmont hiring, which gates Ridgeway.

OVERALL

At risk

Two of three site moves are on plan; Fairmont needs seven more hires before Ridgeway can move.

Oakmont exit	Complete	Closed week 8; volume at Easton.
Brookline exit	On track	Sublet in market; move in month five.
Fairmont hiring	Off track	11 of 18 hired; local market tight.
Systems cut-over	At risk	Easton done; Fairmont waits on hiring.

THE ASK Ops director · Next Friday

Approve a 10% retention premium for Fairmont roles.

THE ONE RED Owner: HR director

Fairmont is seven hires short; Ridgeway cannot move until they start.

Source: Transition PMO tracker (fictional)

WHAT CHANGES

Consolidation turns three small depots into two full ones.

Today: nine depots		After: six depots	CHANGE
Three depots at 34–39% utilisation	→	Two receiving depots at 74–77%	+38 pts
\$5.2M fixed cost for 14% of volume	→	\$1.1M added cost at the receiving sites	–\$4.1M
Next-day for 100% of customers	→	Next-day for 99.2% of customers	–17 cust.



THE ASK The board • Oct 15

Approve the move of three depots into two.



THE RISK Owner: Ops director

Peak-week capacity at Easton is tight. Mitigation: December dry run.

Source: Route model v3 (fictional)

THE CASE IN ONE SLIDE

Close three underused depots now, before the Oakmont lease renews at a 12% step-up.



SITUATION

Halvard runs nine depots sized for a network that had the Carver contract.



COMPLICATION

Carver ended; three depots have run below 40% utilisation for six quarters, and the Oakmont lease renews in March.



RESOLUTION

Move their volume to Easton and Fairmont over nine months: \$4.1M a year saved, next-day kept for 99.2% of customers.



THE ASK The board • Oct 15

Approve the plan and the \$2.6M budget.



THE RISK Owner: HR director

Ridgeway union consultation could add four months.

Source: Halvard depot P&L FY25; property schedule (fictional)

Three risks, each with an owner and a mitigation.

Risk	Impact	Owner	Mitigation
Union consultation at Ridgeway extends beyond four months	High	HR director	Start informal engagement now; sequence Oakmont and Brookline first so savings begin regardless.
Easton peak-week capacity is tighter than modelled	Medium	Ops director	Pilot a peak week in December before committing; Fairmont takes overflow.
Brookline sublet market softens	Low	Property	Exit penalty already in the \$2.6M; sublet is upside only.

WHY NOW

Every month of delay costs \$340,000.

The three sites lose \$4.1M a year against the consolidated network. Oakmont's lease renews in March at a 12% step-up; missing it adds two years to the exit.

Nothing here gets cheaper by waiting.

The receiving sites need two things from their managers this quarter.

Easton and Fairmont managers

Run the December peak-week dry run at full volume.

- It is the last test the model has not passed
- It tells us whether Fairmont needs overflow cover

1

Book the dry-run week

Week of Dec 8, both sites, full shift pattern.

2

Report the friction

Daily log of anything the model got wrong.

THE BOTTOM LINE

Pass the dry run and the Ridgeway move can start in February.

THE DECISION

Three approvals to start in November.

DECISION

Approve the plan

Close Ridgeway, Brookline and Oakmont;
Easton and Fairmont receive.

BUDGET

\$2.6M transition

Released in three tranches, one per phase.

MANDATE

Start union engagement

Informal engagement at Ridgeway from
Nov 1.

Approve these three and the first saving lands in month four.



BACKUP

Supporting detail.

SOURCES

Sources cited in this deck.

1. Halvard Freight • Depot P&L FY25 • Jul 2026 • internal (fictional)
2. Halvard Freight • Route model v3 • Aug 2026 • internal (fictional)